

Memorandum for Record – Limiting Competition at or below the Simplified Acquisition Threshold

1. Contracting Activity: Fort Cavazos Health Contracting Branch, Ft. Cavazos TX

2. Description of Action: Polysomnography equipment for at home use

Nature: ☒ New Requirement ☐ Follow-on Requirement

Contract Vehicle: ☒ Purchase Order Number 12260290

- ☐ Blanket Purchase Agreement (BPA) Number _____
- ☐ Order/BPA# _____ against FSS Contract # _____
- ☐ Order # _____ against Multiple Award IDIQ Contract
Name or # _____
- ☐ Order # _____ against a single award IDC Contract

- ☐ Modification # _____ to existing PO/TO/DO/Call Order

Pricing/Contract Type: ☒ Fixed Price ☐ Time & Materials/Labor Hours ☐
Cost Reimbursable ☐ Hybrid

Funds: ☐ Operations & Maintenance, Army (OMA) ☒ Other Funds: DHA _____
FY: 25

Name of Proposed Contractor(s) and Address:

Nihon Kohden America, LLC
15353 Barranca Pkwy
Irvine, CA 92618-2216

Brand Name Buy: ☐ Yes ☒ No

3. Description of Services or Supplies: This requirement is for polysomnography equipment for the Sleep Department of Carl R. Darnall Army Medical Center, Fort Cavazos, Texas. The polysomnography equipment is essential for diagnosing and treating sleep disorders, including sleep apnea, narcolepsy, and insomnia.

For Actions without Options:

Delivery date: 15 May 2025

Total Value: \$52,528.55**4. Authority:** *Select the appropriate authority below:*

☒ FAR 13.106-1(b)(1): For purchases not exceeding the simplified acquisition threshold (SAT), only one source reasonably available, urgency, exclusive licensing agreements, brand name, or industrial mobilization.

5. Reasons for Authority Cited:

- a) The Carl R. Darnall Army Medical Center (CRDAMC) Sleep Lab requires the alternative polysomnography equipment to ensure accurate diagnosis and effective treatment of sleep disorders. The equipment must meet the following characteristics be compatible with existing systems and software used in the CRDAMC sleep lab; capable of monitoring respiratory effort, airflow, and oxygen saturation, total sleep time (TST) calculations, pressure signals (positive airway passage (PAP) compatible snore, SpO2, pulse, phlethysmography signal; wrist and chest configuration; user-friendly interfaces for clinicians/technicians.; compliance with the American Academy of Sleep Medicine (AASM) standards.

The polysomnography equipment manufactured by Nihon Kohden meets the Government's salient characteristics to ensure reliable and accurate test results. Nihon Kohden is the only vendor that is authorized to operate (ATO) for the military health facilities and federal hospitals. Additionally, the Defense Health Agency (DHA) is currently standardizing the use of Nihon Kohden polysomnography equipment for the Military Treatment Facility (MTF) sleep laboratories.

(i) Nihon Kohden provided a sole source letter dated 12 March 2025. Within its letter, Nihon Kohden states that it "is the sole supplier of the polysomnography equipment in [REDACTED] is manufactured by Nihon Kohden America, LLC and is only available from Nihon Kohden America, LLC at this time."

- b) Failure to purchase the polysomnography equipment will prevent CRDAMC from providing efficient patient sleep disorder diagnosis and delays in developing a treatment plan for patients. At home testing are a convenient alternative to in-lab sleep studies. At home testing reduces time to physicians' diagnosis and allow greater time to plan treatments. The at home polysomnography equipment helps to improve patient care by providing healthcare providers with the information they need to make timely and informed decisions.

Based on these factors, at home polysomnography equipment are the optimal choice for CRDAMC, providing reduced patient wait time to diagnosis that enhances patient treatments, is more efficient and provides advanced

capabilities necessary to deliver high-quality patient care. Due to the reasons identified above, it is not feasible to seek competition for this requirement due to the required salient characteristics required by the Government. At home testing are a convenient alternative to in-lab sleep studies. At home testing reduces time to physicians' diagnosis and allow greater time to plan treatments. The at home polysomnography equipment helps to improve patient care by providing healthcare providers with the information they need to make timely and informed decisions.

6. Publicizing Contract Actions: For FAR Part 13 actions, the public display and synopsis requirements of FAR 5.101 and FAR 5.203, apply and will be followed.

Requirement to post justification in accordance with FAR 8.405-6(b)(3), FAR 13.105(c), or FAR 16.505(a)(4)(iii)(A)

☒ Action is NOT a brand name restriction and is under \$250K, no posting required

☐ Action is a brand name restriction, under \$25K, no posting required.

☐ Action is a brand name restriction, over \$25K. It will be redacted and posted with the solicitation.

☐ Action is a brand name restriction over \$25K but will not be posted due to exception:

☐ FAR 6.305(f)

☐ FAR 8.405-6(b)(3)(iii)(A)

☐ FAR 8.405-6(b)(3)(iii)(B)

☐ FAR 8.405-6(b)(3)(iii)(C)

☐ FAR 16.505(a)(4)(iii)(C)

7. Market Research: Per FAR 19.502-2 a review for small business socioeconomic contracting programs was conducted. A search of the Small Business Administration's (SBA) Dynamic Small Business Search (DSBS) using NAICS 334510, and using keyword, "polysomnography equipment." Copy of the results are filed in the PCF contract file.

There are zero small businesses who provide supplies under NAICS 334510 using keyword, "polysomnography equipment". Further research of the small businesses that could provide the patient monitors and accessories revealed that none of the small businesses could provide the patient monitors and all accessories that meet the Government's salient characteristics.

A comprehensive web-based search confirmed that no other companies could be identified that resell these items. This was done so using Google, as well as by Searching Government databases such as the SBA's Dynamic Small Business Search (DSBS) and the Department of Veterans Affairs Contract Catalog Search Tool (CCST).

[REDACTED]

Additional market research conducted on GSA eLibrary resulted in zero small businesses. Further online market research resulted in zero large business that can provide the polysomnography equipment that are compatible with current equipment that CRDAMC utilizes.

Due to the technical, operational and compliance requirements of the required polysomnography equipment, no other companies meet the Government's requirements. This is evidenced by market research performed by the Contract Specialist.

8. Other Facts: N/A

9. Technical/Requirements Certification: I certify that the supporting data under my cognizance which are included in the justification are accurate and complete to the best of my knowledge and belief.

[REDACTED]

10. Contracting Officer Certification/Approval:

I hereby determine that the anticipated cost or price to the Government for this contract action will be fair and reasonable based upon market research and internet search of similar items.

I certify that this justification is accurate and complete to the best of my knowledge and belief, and that completing this purchase as a sole source is in the best interest of the Government. Additionally, I approve this justification to limit competition subject to the availability of funds and provided that the services or supplies herein described have otherwise been authorized for acquisition.

[REDACTED]

[REDACTED]